

|                                | <i>Real Estate<br/>Investment Trust</i> | <i>Realty Equities Corp.<br/>of New York</i> |
|--------------------------------|-----------------------------------------|----------------------------------------------|
| Gross revenues                 | \$ 3,585,000                            | \$1,484,000                                  |
| Net income                     | 485,000                                 | 150,000                                      |
| Earned per share               | .66                                     | .47                                          |
| Dividend per share             | none                                    | .10                                          |
| Book value per share           | \$20.                                   | \$4.                                         |
| Price range                    | 20-12                                   | 5½-4¼                                        |
| Total assets                   | \$22,700,000                            | \$6,200,000                                  |
| Total liabilities              | 7,400,000                               | 5,000,000                                    |
| Book value of common           | 15,300,000                              | 1,200,000                                    |
| Average market value of common | 12,200,000                              | 1,360,000                                    |

In Table 18-1B we present the situation about eight years later. The Trust had “kept the noiseless tenor of its way,” increasing both its revenues and its per-share earnings by about three-quarters.\* But Realty Equities had been metamorphosed into something monstrous and vulnerable.

How did Wall Street react to these diverse developments? By paying as little attention as possible to the Trust and a lot to Realty Equities. In 1968 the latter shot up from 10 to 37 3/4 and the listed warrants from 6 to 36½, on combined sales of 2,420,000 shares. While this was happening the Trust shares advanced sedately from 20 to 30¼ on modest volume. The March 1969 balance sheet of Equities was to show an asset value of only \$3.41 per share, less than a tenth of its high price that year. The book value of the Trust shares was \$20.85.

**TABLE 18-1B. Pair 1.**